Capital Expenditure Plan

Capital Expenditure Plan for 2024

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Introduction

This document outlines Brightmoor Foods' capital expenditure (CapEx) plan for the year 2024. The plan aims to enhance production efficiency, improve product quality, and support strategic growth initiatives. The total budget allocated for CapEx in 2024 is **EUR 18.5 million**.

Production Facility Upgrades

We will invest **EUR 6.2 million** in upgrading our main production facility in Antwerp, Belgium. Key projects include:

- **New Packaging Line**: Installation of a state-of-the-art packaging line expected to increase packaging speed by 20% and reduce material waste by 15%. Cost: **EUR 3.1 million**.
- **Machinery Modernization**: Replacement of outdated machinery with energy-efficient models. This will reduce energy consumption by an estimated 10% and increase overall productivity. Cost: **EUR 2 million**.
- **Facility Maintenance**: Routine maintenance and upgrades to ensure facility longevity and compliance with safety standards. Cost: **EUR 1.1 million**.

Technology and Automation

An investment of **EUR 5 million** is designated for technology and automation improvements:

- **ERP System Upgrade**: Implementation of a new Enterprise Resource Planning (ERP) system to streamline operations, improve data accuracy, and enhance decision-making processes. Cost: **EUR 2.5 million**.
- **Automation Robots**: Introduction of automation robots in the assembly and packaging departments to increase precision and reduce labor costs. Cost: **EUR 1.8 million**.
- **Cybersecurity Enhancements**: Strengthening our cybersecurity infrastructure to protect sensitive data and ensure compliance with regulations. Cost: **EUR 0.7 million**.

Research and Development

We plan to allocate **EUR 4 million** to research and development (R&D) initiatives:

- **New Product Development**: Funding for the development of three new product lines, focusing on health-conscious and sustainable options. Cost: **EUR 2 million**.
- **Market Research**: Investment in market research to identify emerging trends and consumer preferences. Cost: **EUR 1 million**.
- **Pilot Projects**: Support for pilot projects testing new production techniques and ingredients. Cost: **EUR 1 million**.

Training and Development

The remaining **EUR 3.3 million** will be used for employee training and development:

- **Technical Training**: Programs to upskill employees on new machinery and technologies. Budget: **EUR 1.5 million**.
- **Leadership Development**: Workshops and seminars for managerial staff to enhance leadership and strategic planning skills. Budget: **EUR 1 million**.
- **Soft Skills Workshops**: Sessions focusing on communication, teamwork, and customer service. Budget: **EUR 0.8 million**.

Conclusion

This CapEx plan is designed to position Brightmoor Foods for sustained growth and operational excellence in 2024 and beyond. We anticipate these investments will lead to improved efficiency, enhanced product quality, and increased market competitiveness.